

8. POP test: must $> 68\%$ for the win rate to be statistically significant
9. Comparison with Fair Value: if you are assigned stocks, is the entry price reasonable?
10. Select expiration: 30-45 DTE (Days to Expiration) for optimal Theta decay

6.4 Position Sizing — Capital Management

Principles of capital management

Each transaction up to 5% of the total portfolio

No more than 20% in the same sector

No more than 3-4 options positions open at the same time (newbies)

Stop loss: options lose 2x the initial fee → the order is closed

Take profit: reach 50% of the maximum profit → close early (reduce time risk)